about the gyrations of currencies, stocks, and bonds during the period from August 1985 through November 1988, just to give people a glimpse into the thought processes of a master of what is called macroinvesting. His account tells us how someone who makes decisions makes decisions. George is pretty smart, I reasoned. If a diary worked for him, it would work for me. The following is a distillation of what I jotted down during five critical, unnerving days.

*Friday, October 16*

I was cheerful this morning. The market has been weak for seven weeks. The severe drop in September, a frequent seasonal event, might have been enough to wash out much of the overpricing in stock prices. Acorn has been outperforming the S&P 500 since the August 25 high, as the blue chips dropped much faster than the smaller companies. The Acorn portfolio was in a strong position to resist a decline, with 12 percent in U.S. and Japanese short-term paper, and 16 percent in Asian and European stocks. Many careful studies have shown that foreign stock markets are only moderately correlated with the U.S. market, and this has been true so far today, with most Asian markets at new highs, ignoring the weak U.S. market. In addition, Acorn is short 90 S&P 500 Index Futures and carries a thus-far-profitable 80-unit straddle—long 80 Value Line Index Futures/short 80 S&P 500 Futures.

My cheerfulness didn't last. By afternoon, the market was telling a powerful message. Stocks were in a severe decline on enormous volume. Index futures pricing was erratic; the December futures should sell about two points higher than the index itself under equilibrium conditions, but during much of the day futures were at discounts to the index, making trading difficult. At the close, the market had set a new volume record—343 million shares—and a record drop of 15.14 on the S&P 500, a 5.1 percent decline. Acorn was off only 1.7 percent, so, relative to the market, we did very well. The situation required action; I put in sell orders on seven foreign stock positions, figuring it was time to take profits and move the money back to the U.S. market.